

Ticker: SKE CN	Net cash: C\$76m	Project: Eskay Creek
Market cap: C\$737m	Price: C\$3.12/sh	Country: Canada, BC
RECOMMEND. (unc): BUY	TARGET (unc): C\$4.30/sh	RISK RATING: HIGH

Today's news, a partnership with Tahltan, is a big step forward. Partnering with the local First Nations now as shareholders with a C\$5m investment and a seat at the table, is an unprecedented move in the junior mining space, which in our view is extremely positive for Skeena and communities both. Bringing the Tahltan Nation onboard as an equity partner is not only an important vote of confidence from the local First Nations community to support Eskay Creek into production but a major check mark for BC permitting (that is often perceived as less straightforward as other provinces). This de-risking increases Eskay's scarcity value as one of the few development assets in Canada with visibility on producing more than 150koz/yr with now visible and tangible local community support. The historic mining further de-risks permitting compared to a greenfield site. **We maintain our BUY rating and 0.6xNAV_{5%-1850-24} price target of C\$4.30/sh.**

Tahltan Nation become strategic Skeena shareholders with C\$5m investment

Skeena and the Tahltan Central Government announced that they have entered into an investment agreement whereby Tahltan will invest C\$5m into Skeena by purchasing ~1.6m 'Tahltan investment rights' @ \$3.13/right convertible @ 1:1 common share over the three-year period following the closing of the offering, subject to customary adjustments.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- 1H21: Results from six rigs drilling 21A, 21B, 21C for PFS infill
- 1H21: 25 holes into 200 footwall at Snip
- 1H21/4Q21: PFS/DFS
- 2024: SCPe production

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BUY: The stocks total returns are expected to be materially better than the overall market with higher return expectations needed for more risky securities markets

NEUTRAL: The stock's total returns are expected to be in line with the overall market

SELL: The stocks total returns are expected to be materially lower than the overall market

TENDER: The analyst recommends tendering shares to a formal tender offering

UNDER REVIEW: The stock will be placed under review when there is a significant material event with further information pending; and/or when the research analyst determines it is necessary to await adequate information that could potentially lead to a re-evaluation of the rating, target price or forecast; and/or when coverage of a particular security is transferred from one analyst to another to give the new analyst time to reconfirm the rating, target price or forecast.

NOT RATED ((N/R): The stock is not currently rated

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Summary of recommendations as of March 2021	
BUY:	33
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	33

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